

CC 020/030



China Ocean Shipping Company Americas, Inc

June 22, 1999

The Honorable Harold J. Creel
Chairman, Federal Maritime Commission
800 N Capitol Street NW
Washington, D.C. 20573

Dear Chairman Creel:

COSCO has been severely affected due to the new rules set forth by the Ocean Shipping Reform Act (abbreviated as OSRA) and by the increased restrictions placed upon us by the Controlled Carrier Act. Prior to OSRA being passed, COSCO, as a controlled carrier, was able to file tariff rates immediately in our bilateral trades (Hong Kong and China), but had to wait 30 days for tariff filing in cross trades.

After OSRA's passage, the freedom we had on our bilateral home trade was eliminated. This means every tariff rate COSCO is requested to file is subject to a 30-day waiting period. This increased regulation in an environment where our competitors are more or less deregulated makes it difficult for us to compete. In practice, we found that not all shippers are willing to sign a service contract. Another difficulty in always relying on service contracts to move cargo is the considerable increase in manpower and filing costs associated with this change. Since COSCO has to rely on service contracts to keep up with the market, we have had to double our filing staff and we still cannot keep up with the workload. Because we have to rely on contracts for small volume moves our cost per TLI (tariff line item) is way above our competitors, who can file a single tariff TLI.

Finally we would like to address the exemption the FMC granted us last year to meet (not beat) the competition's tariff rates within 24 hours, contingent upon the fact that we could prove a rate was on file and could print a bottom line calculation. Since OSRA took effect, this exemption is nearly impossible to exercise.

Prior to OSRA, all tariff rates were filed with the FMC's ATFI system, which automatically calculated a printed bottom line rate that we could send to the FMC. Post OSRA, all tariff rates are on private websites and the FMC does not require these websites to provide bottom line calculations. Since the exemption includes a heavy penalty if we are one penny short on our bottom line calculation, we are extremely hesitant in using this exemption. Another problem we face is that some competitors' websites are very difficult to access and some charge a fee for this.

COSCO would like to forward the enclosed letters of public support for our petition to eliminate the 30 day filing restriction of the Controlled Carrier Act, which was filed with the FMC on March 31, 1999. We hope that the FMC can now expedite our request as we are placed at a severe commercial disadvantage each day that we cannot compete on an equal basis with our competition.

Sincerely yours,

A handwritten signature in black ink, appearing to read 'Zhang Liyong'.
Zhang Liyong



China Ocean Shipping Company Americas, Inc.

cc 020/030

Honorable **Bryant L. VanBrakle**
Secretary
Federal Maritime Commission
800 North Capitol Street, N.W.
Washington D.C. 20573

RECEIVED
FEDERAL MARITIME COMMISSION
MAY 11 1999

RE: Petition No. P 3-99

Dear Mr. **VanBrakle**

Since **May 1st** the landmark **Ocean Shipping Reform Act** has been enforced, Due to the restriction **OSRA** places on **COSCO** (which was mentioned in detail in the Petition), we strongly request that the **FMC** can review our petition and make an immediate decision without extending public comment's period.

COSCO feels that our request is based purely on an urgent commercial basis and it is unfair to link the Petition with bilateral Maritime Agreement and Chinese governmental regulations. **COSCO** hopes, **FMC**, as an independent agency, can seriously consider our petition within a short tie and grant the exemption requested.

Respectfully submitted

SongQiming

Vice President of **COSCO** Americas, Inc.

on behalf of china Ocean shipping (Group) Company